HOUSE BILL 1632
By Lamberth

SENATE BILL 1884

By Johnson

AN ACT to amend Tennessee Code Annotated, Title 68, Chapter 217, Part 1, relative to the drycleaner environmental response program.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 68-217-102, is amended by adding the following as new subdivisions:

( ) "Recently abandoned" means an abandoned drycleaning facility closed in accordance with the commissioner's rules no more than one hundred eighty (180) days prior to the date of submittal of a petition to access the drycleaner environmental response fund;

( ) "Registered facility" means any registered drycleaning operation, registered in-state wholesale distribution facility, or a registered abandoned drycleaning facility;

( ) "Wholesale distributor" means a person or company who is engaged in wholesale distribution;

SECTION 2. Tennessee Code Annotated, Section 68-217-102(5), is amended by deleting the subdivision and substituting:

(5) "Drycleaner environmental response fund" or "fund" means the fund established under § 68-217-103;

SECTION 3. Tennessee Code Annotated, Section 68-217-102(10), is amended by deleting the subdivision.

SECTION 4. Tennessee Code Annotated, Section 68-217-102(13), is amended by adding ", or soil gas vapor, including sub-slab vapor and indoor air" immediately after "subsurface soils".

SECTION 5. Tennessee Code Annotated, Section 68-217-102(14), is amended by deleting the subdivision and substituting:

(14) "Wholesale distribution" means the sale or delivery of drycleaning solvents, supplies, or services to in-state or out-of-state drycleaning facilities.

SECTION 6. Tennessee Code Annotated, Section 68-217-105, is amended by deleting the section and substituting:

(a) The commissioner has the following duties and responsibilities:

(1) Develop and approve investigation and remediation strategies, including, but not limited to, presumptive remedial responses;

(2) Enter into contracts and use the fund for purposes directly associated with accepted petitions for the investigation, containment, cleanup, monitoring, and maintenance of releases from registered drycleaning operations, registered in-state wholesale distribution facilities, and registered abandoned drycleaning facilities, including:

(A) Hiring consultants and other contractors;

(B) Purchasing, leasing, or renting necessary equipment; and

(C) Defraying other necessary expenses;

(3) Review and accept or deny a petition for entry of a registered facility or a registered recently abandoned drycleaning facility into the drycleaner environmental response fund based on the standards set out in this chapter and in rules. The commissioner shall prioritize approved petitions according to rules and established guidelines. In establishing guidelines for site prioritization, the commissioner shall consider the degree of risk to human health and the environment and other factors as the commissioner may deem appropriate;

(4) Assess civil penalties in accordance with § 68-217-108; and

(5) Promulgate rules necessary to effectuate this chapter, and conduct contested case proceedings, in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5. The rules must include, but are not limited to:

(A) Annual registration with corresponding fees for drycleaning facilities with categories of drycleaning facilities based on the amount and type of solvent used;

(B) Requirements and standards for operation, maintenance, and closure of drycleaning facilities;

(C) Standards for reviewing, accepting, and denying petitions for entry into the drycleaner environmental response fund;

(D) A process for the commissioner to withdraw a facility from the drycleaner environmental response fund upon a determination of ineligibility or that the facility is or has been in noncompliance with this chapter; and

(E) A process for certification of the completion of all investigation and remedial work and closure of a petition for access to the drycleaner environmental response fund.

(b) The commissioner is authorized to enter, at any reasonable time, any registered facility and any property where the commissioner believes, based on substantial evidence, that drycleaning operations or in-state wholesale distribution activities are occurring or have occurred, to conduct investigations, and ensure compliance with this chapter. The commissioner may inspect and copy, at reasonable times, any records, reports, test results, or other information relating to compliance with this chapter and its rules, and the commissioner may request any person or company to furnish information relating to compliance with this chapter and its rules.

SECTION 7. Tennessee Code Annotated, Section 68-217-106, is amended by deleting the section and substituting:

(a) Each year, the owner or operator of a drycleaning facility that intends to conduct for all or part of the year, drycleaning operations or an in-state wholesale distribution facility shall register with the department on forms provided by the department.

(b) The owner or operator of a recently abandoned drycleaning facility shall register with the department on forms provided by the department before or simultaneously with submission of a petition to access the fund in order for the petition to be accepted. After the initial acceptance of a recently abandoned drycleaning facility into the program, the owner or operator or a recently abandoned drycleaning facility shall comply with annual registration and payment requirements applicable to drycleaning facilities and in-state wholesale distribution facilities except as otherwise provided in this chapter.

(c) Each facility accepted into the drycleaner environmental response fund shall register annually, even if the facility ceases drycleaning operations or wholesale distribution activities. Facilities that fail to register may be removed from the drycleaner environmental response fund.

(d) The owner or operator of a drycleaning facility or in-state wholesale distribution facility required to register under subsection (a) shall pay to the department an annual registration fee in accordance with the schedule established pursuant to rule.

(e) It is unlawful to sell or transfer drycleaning solvent or engage in wholesale distribution to any person owning or operating a drycleaning facility unless the owner or operator of the drycleaning facility has conspicuously posted a copy of a valid certificate evidencing registration of the drycleaning facility pursuant to this chapter at the facility.

(f) It is a violation of this chapter for any drycleaning facility or any person owning or operating a drycleaning facility to purchase solvent without the drycleaning facility being lawfully registered in accordance with this chapter.

(g) At least thirty (30) days before payment of a registration fee is due, the department shall attempt to notify and submit a registration fee payment form to each owner or operator of a registered facility. The registration fee payment form provided by the department must accompany the registration fee payment.

(h) The commissioner shall establish a drycleaning solvent surcharge in accordance with the schedule established pursuant to rule.

(i) The solvent surcharge required by this section must be collected and forwarded to the department by the seller of the drycleaning solvent, regardless of the location of such seller. If the seller is located outside of this state, the solvent surcharge may be collected and forwarded to the department by either the buyer or the seller.

(j) The department shall provide each person who pays a registration fee or solvent surcharge under this chapter with a receipt. The receipt or the copy of the receipt shall be produced for inspection at the request of any authorized representative of the department.

(k) Registration fees and surcharges paid under this section must be collected by the department and deposited in the drycleaner environmental response fund created under this chapter.

(l) The registration fees, surcharges, and deductibles prescribed by this chapter may be adjusted by the commissioner, after notice and opportunity for public comment, in a manner necessary and appropriate to ensure viability of the fund and in furtherance of the purposes of this chapter; provided, that any fees or deductibles applicable to recently abandoned drycleaning facilities must never be in excess of the fees and deductibles applicable to the largest drycleaning facility, and there shall be no surcharges on recently abandoned drycleaning facilities.

SECTION 8. Tennessee Code Annotated, Section 68-217-107, is amended by deleting the section and substituting:

(a) An owner or operator of a registered facility, or the current owner or operator of a recently abandoned drycleaning facility, may petition the commissioner to perform investigation and remediation in connection with a release from a drycleaning facility, in-state wholesale distribution facility, or abandoned drycleaning facility in accordance with rules promulgated by the commissioner.

(b) Once a registered facility or recently abandoned drycleaning facility has petitioned the commissioner and has complied with all the requirements for entry into the program as established by this chapter, including compliance with applicable rules and the payment of necessary registration fees and, if applicable, surcharges on drycleaning solvents, then the commissioner shall accept the petition in accordance with the rules promulgated under this chapter. Upon acceptance, the commissioner shall inform the party of the decision to allow the facility into the program established by this chapter and inform the party of the priority ranking of the site, if sufficient investigative work has been completed at that time to determine priority ranking. The commissioner may reject any petition and deny coverage under this chapter if the commissioner determines that the registered facility or recently abandoned drycleaning facility has been in noncompliance with this chapter or the rules promulgated pursuant to this chapter.

(c) The commissioner shall not authorize the expenditure of funds from the fund in excess of five hundred thousand dollars ($500,000) per year for releases from any registered facility or recently abandoned drycleaning facility, nor authorize a distribution of monies from the fund that would result in a diminution of the fund below a balance of one hundred thousand dollars ($100,000) unless an emergency exists at a registered facility or recently abandoned drycleaning facility that constitutes an imminent and substantial threat to human health or the environment. In the event of an emergency as described in this subsection (c), the commissioner shall approve the reimbursement of reasonable response costs to remove the imminent and substantial threat to human health or the environment.

(d) The commissioner shall not expend more than two million dollars ($2,000,000) per registered facility that has been accepted to the program.

(e) The commissioner shall not authorize distribution of funds from the fund to:

(1) Sites that are contaminated by solvents normally used in drycleaning operations where the contamination at such sites did not result from the operation of a registered facility or recently abandoned drycleaning facility;

(2) Sites that are not registered facilities, or recently abandoned drycleaning facilities, that are contaminated by a release that results from drycleaning solvents being transported to or from a drycleaning facility or in-state distribution facility;

(3) Any property contaminated by a release from a drycleaning facility, abandoned drycleaning facility, or in-state wholesale distribution facility, that has been identified by the United States environmental protection agency (EPA) as a federal superfund site pursuant to 40 CFR Part 300 et seq.; or

(4) Any drycleaning facility which has obtained a permit pursuant to the Resource Conservation and Recovery Act (RCRA) (42 U.S.C. § 6901 et seq.).

(f) Any person granted fund coverage under this section shall pay a deductible of ten percent (10%) of each contractor billing, not to exceed a total of fifty thousand dollars ($50,000) per site. If an applicant reenters facilities or sites into the program for any reason, including failure to submit annual registration forms or registration fees on time, the applicant is required to pay a new deductible.

SECTION 9. Tennessee Code Annotated, Section 68-217-108, is amended by deleting the section and substituting:

(a) Any person who violates or fails to comply with this chapter or a rule adopted pursuant to this chapter is subject to a civil penalty of up to ten thousand dollars ($10,000) per violation. The commissioner may assess penalties through an order to be served upon the alleged violator. Any such order becomes final and not subject to review unless the person or persons named in the order file a request for a hearing with the commissioner within thirty (30) days after the date such order is served. Any such hearing must be conducted as a contested case and be heard by an administrative judge sitting alone pursuant to §§ 4-5-301(a)(2) and 4-5-314(b), unless settled by the parties.

(b) In addition to any penalties authorized by subsection (a), any person who fails or refuses to pay a lawfully levied registration fee or solvent surcharge or any part of a registration fee or solvent surcharge by its due date shall be assessed a penalty of up to fifty dollars ($50.00) for each day that passes after the fee or surcharge is due and before such fee or surcharge is paid. This section does not require the issuance of a commissioner's order for the payment of a registration fee or a late payment penalty.

(c) An owner or operator shall not receive a registration certificate as required under § 68-217-106(a) until all fees, surcharges, and penalties required by this chapter are paid in full.

SECTION 10. Tennessee Code Annotated, Section 68-217-111, is amended by deleting the section and substituting:

(a) Notwithstanding another provision of law, an owner or operator of a registered facility or current or prior owner or operator of a recently abandoned drycleaning facility is not liable for any release under any other law, including any common law claim or third-party claims, except to the extent of the deductible set forth in § 68-217-107(f), if such facility or distributor has paid all the registration fees and solvent surcharges required under this chapter, has had its petition accepted by the commissioner for participation in the fund, and has materially complied with the requirements of all rules promulgated under this chapter and with any requirements for investigatory or remedial measures established by the commissioner. This section does not preclude claims based solely upon personal injuries associated with a claimant's exposure to drycleaning solvent.

(b) Subsection (a) does not apply to or limit any claim of a lender which arises under a financing arrangement entered into by the owner or operator prior to, on, or after June 13, 1995.

SECTION 11. This act takes effect July 1, 2026, the public welfare requiring it.